

ECON 1550 International Finance

A Tour of the World

Agenda

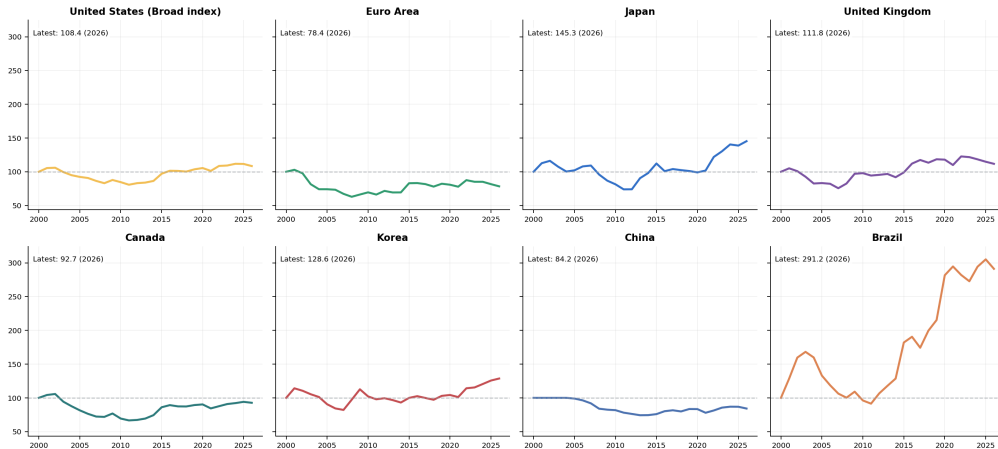
- Long-run and recent exchange-rate behavior
- Aggregate stock-market performance and current yield curves
- Growth, inflation, and unemployment across major economies
- Where the post-2020 cycle looks global and where it does not

How to read the figures

- Coverage: U.S., euro area, Japan, U.K., Canada, Korea, China, and Brazil.
- Exchange-rate and stock-market panels are indexed to 100 at the start of each window.
- Higher exchange-rate values always mean a stronger dollar; the U.S. panel uses a BIS broad dollar index.
- Recent macro slides combine IMF actual data and IMF outlook years.
- The yield-curve slide is a current snapshot; the euro-area panel uses Germany as a proxy.

Nominal exchange rates: 2000-now

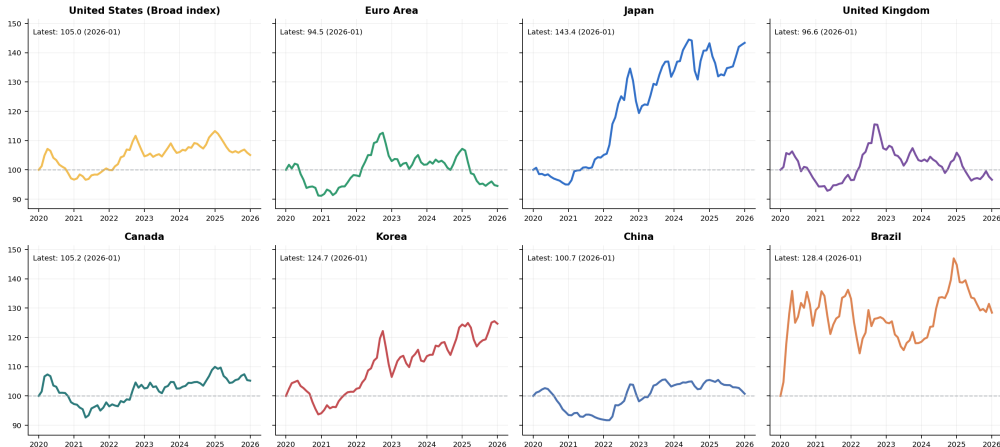
Nominal Exchange Rate Index, 2000-now



Source: [FRED](#) public monthly FX series. Non-U.S. panels plot local-currency units per dollar; the U.S. panel uses BIS broad dollar indexes.

Nominal exchange rates: 2020-now

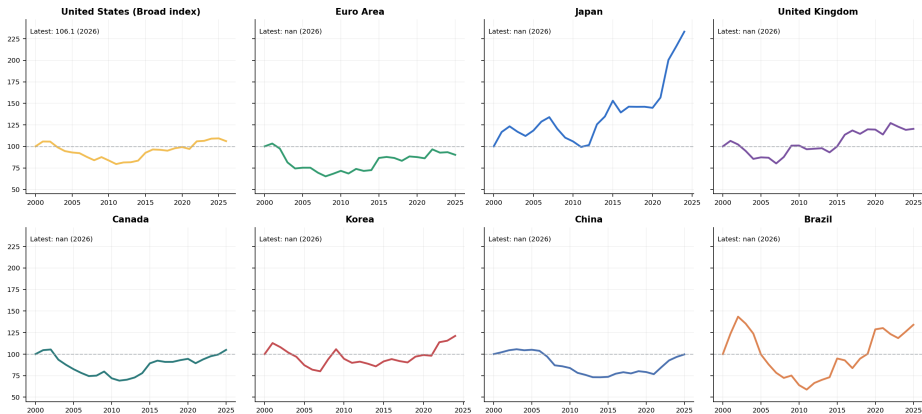
Nominal Exchange Rate Index, 2020-now



Source: [FRED](#) public monthly FX series. Non-U.S. panels plot local-currency units per dollar; the U.S. panel uses BIS broad dollar indexes.

Real exchange rates: 2000-now

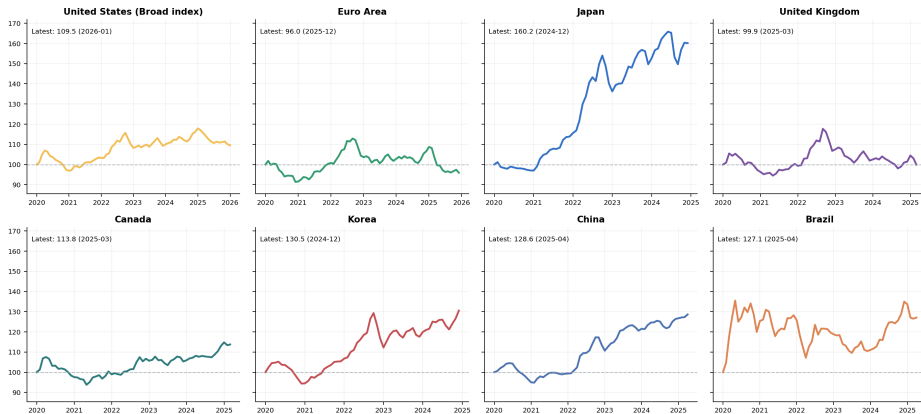
Real Exchange Rate Index, 2000-now



Source: [FRED](#) public monthly FX and CPI series. Japan and Korea use IMF-extended CPI tails through the latest actual inflation year because the FRED CPI endpoints stop early.

Real exchange rates: 2020-now

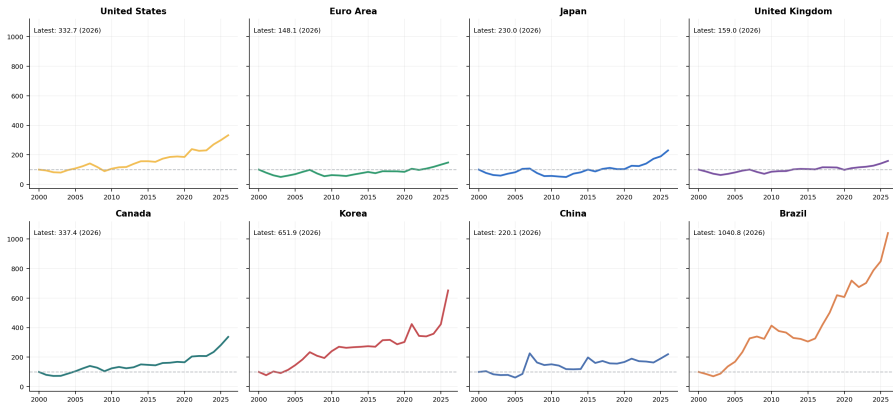
Real Exchange Rate Index, 2020-now



Source: [FRED](#) public monthly FX and CPI series. Japan and Korea use IMF-extended CPI tails through the latest actual inflation year because the FRED CPI endpoints stop early.

Aggregate stock-market performance: 2000-now

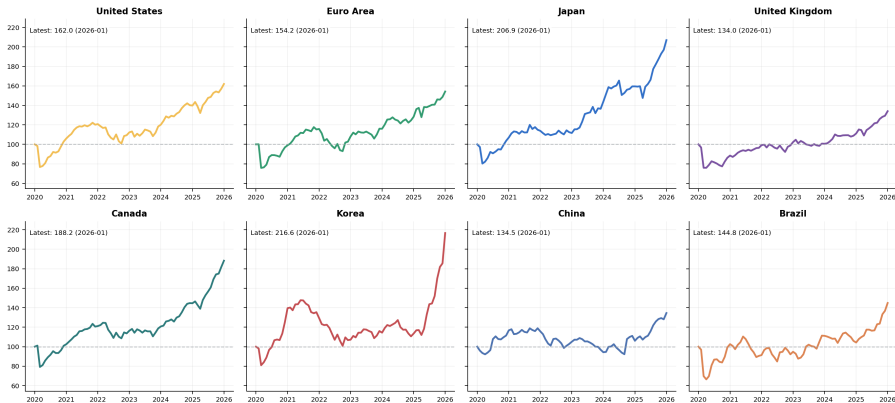
Aggregate Stock-Market Index, 2000-now



Source: [FRED](#) public OECD share-price indexes. Panels are indexed to 100 at the start of each window.

Aggregate stock-market performance: 2020-now

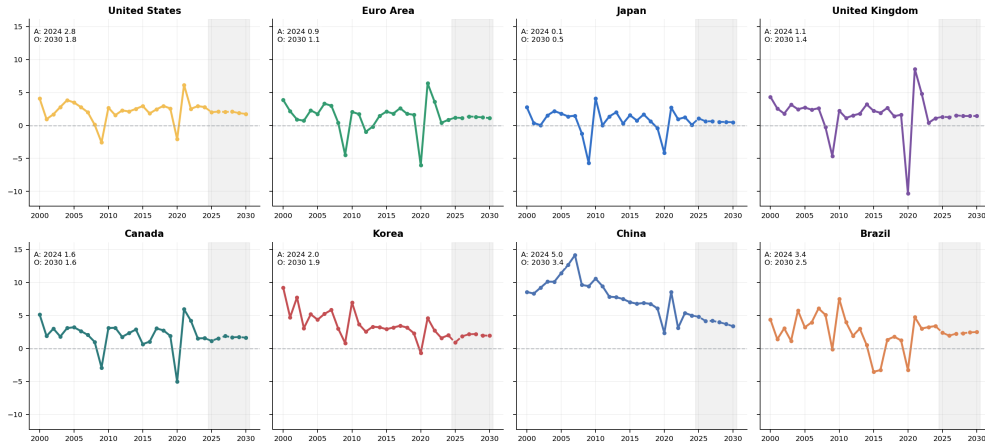
Aggregate Stock-Market Index, 2020-now



Source: [FRED](#) public OECD share-price indexes. Panels are indexed to 100 at the start of each window.

Real GDP growth: 2000-now

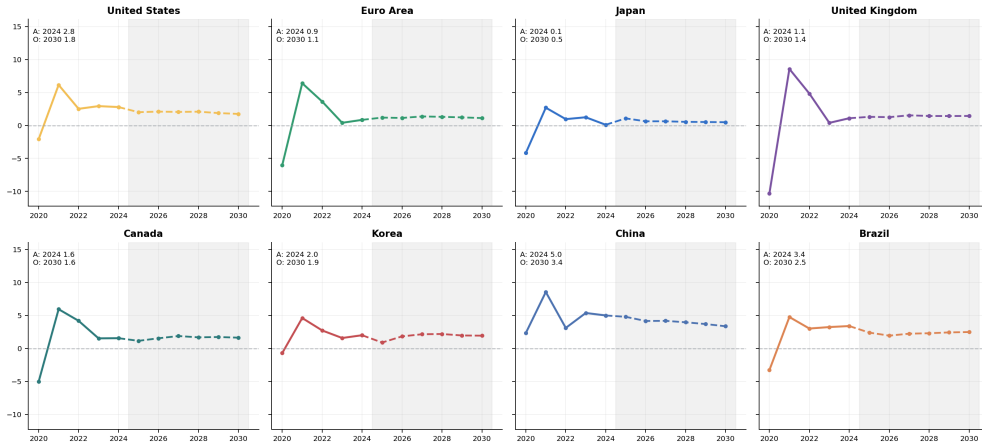
Real GDP Growth, 2000-now



Source: IMF World Economic Outlook, October 2025. Gray shading marks estimate/projection years.

Real GDP growth: 2020-now

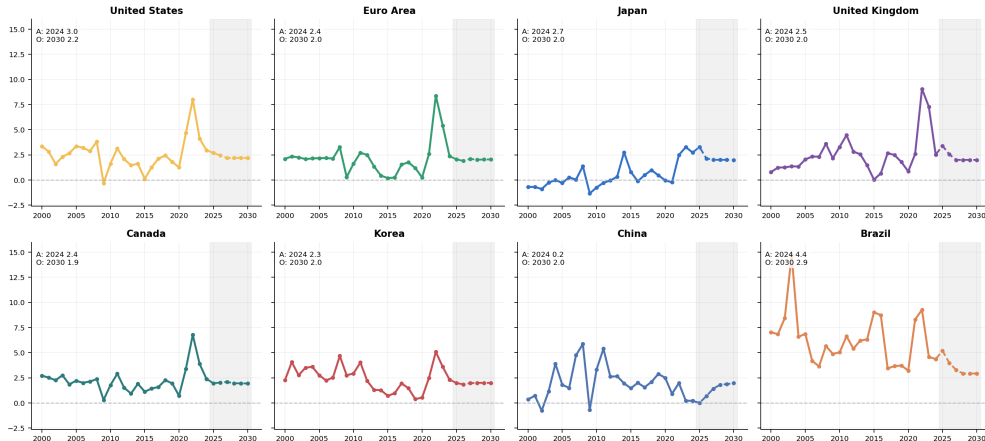
Real GDP Growth, 2020-now



Source: IMF World Economic Outlook, October 2025. Gray shading marks estimate/projection years.

Inflation: 2000-now

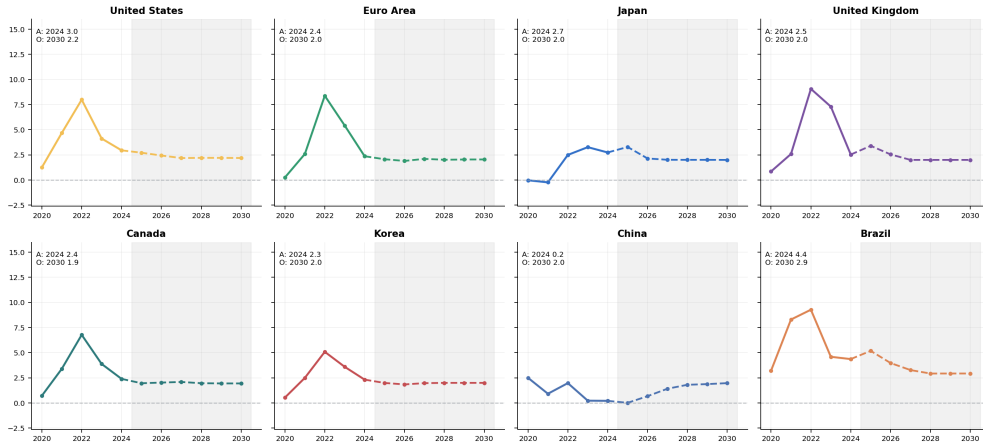
Inflation, 2000-now



Source: IMF World Economic Outlook, October 2025. Gray shading marks estimate/projection years.

Inflation: 2020-now

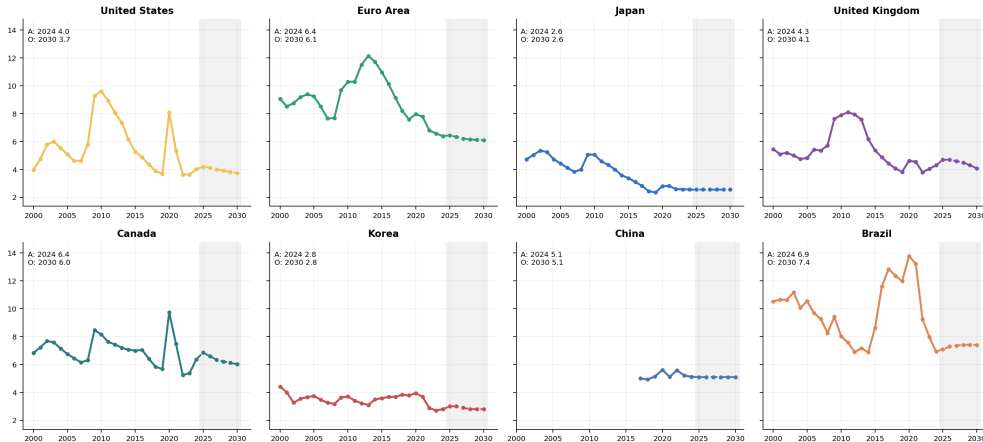
Inflation, 2020-now



Source: IMF World Economic Outlook, October 2025. Gray shading marks estimate/projection years.

Unemployment: 2000-now

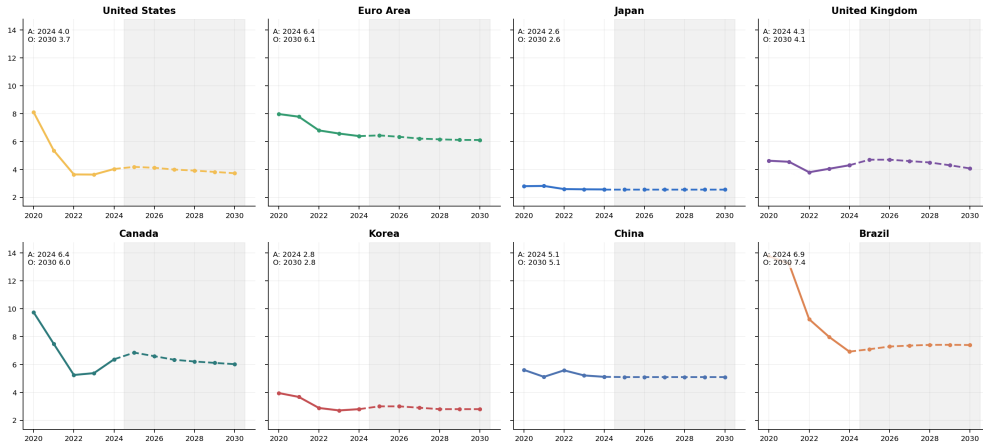
Unemployment, 2000-now



Source: IMF World Economic Outlook, October 2025. Gray shading marks estimate/projection years.

Unemployment: 2020-now

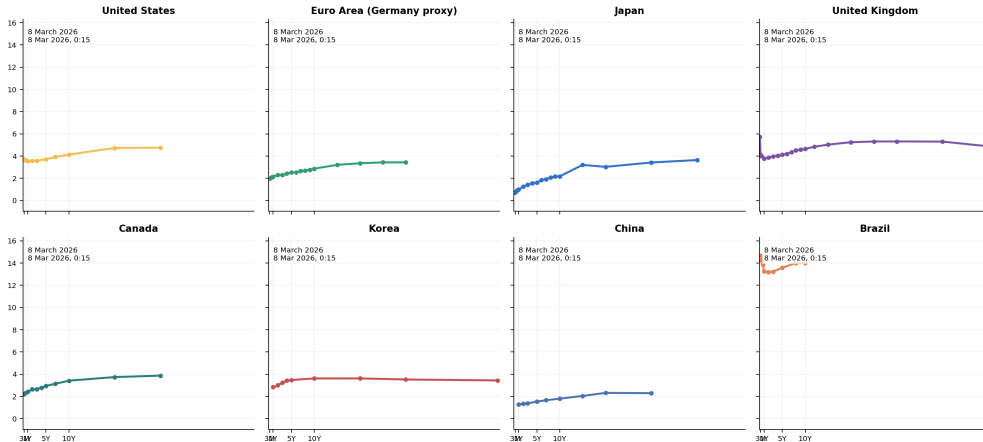
Unemployment, 2020-now



Source: [IMF World Economic Outlook, October 2025](#). Gray shading marks estimate/projection years.

Current yield curves

Current Government Yield Curves



Source: [WorldGovernmentBonds](#) current country yield-curve pages. Snapshot date is shown in each panel; the euro-area panel uses Germany as a proxy.

Snapshot: 2020, latest actual, and latest IMF outlook

Real GDP Growth (%)

Unit	2020	A	O
US	-2.1	2.8	1.8
EA	-6.0	0.9	1.1
JP	-4.2	0.1	0.5
UK	-10.3	1.1	1.4
CA	-5.0	1.6	1.6
KR	-0.7	2.0	1.9
CN	2.3	5.0	3.4
BR	-3.3	3.4	2.5

A = latest actual, O = last WEO year

Inflation (%)

Unit	2020	A	O
US	1.3	3.0	2.2
EA	0.3	2.4	2.0
JP	-0.0	2.7	2.0
UK	0.9	2.5	2.0
CA	0.7	2.4	1.9
KR	0.5	2.3	2.0
CN	2.5	0.2	2.0
BR	3.2	4.4	2.9

A = latest actual, O = last WEO year

Unemployment (%)

Unit	2020	A	O
US	8.1	4.0	3.7
EA	8.0	6.4	6.1
JP	2.8	2.6	2.6
UK	4.6	4.3	4.1
CA	9.7	6.4	6.0
KR	4.0	2.8	2.8
CN	5.6	5.1	5.1
BR	13.8	6.9	7.4

A = latest actual, O = last WEO year

A = latest actual year in the October 2025 WEO release. O = the last year in that WEO horizon.

Source: [IMF World Economic Outlook, October 2025](#). Gray shading marks estimate/projection years.

Bottom line to remember

The post-2020 cycle was global across the dollar, equity markets, inflation, labor markets, and the term structure, but the size and persistence of the response still varied a lot across countries.

Appendix: Exact IDs (1/4)

United States: WEO code USA; nominal FX NBUSBIS; real FX RBUSBIS; CPI CPIAUCNS; stock SPASTT01USM661N; yield slug `united-states`.

Euro Area: WEO code G163; nominal FX EXUSEU, then invert; real FX uses formula on next slide with CPI CP0000EZ19M086NEST; stock SPASTT01EZM661N; yield slug `germany` (Germany proxy).

Japan: WEO code JPN; nominal FX EXJPUS; real FX uses formula on next slide with CPI JPNCPIALLMINMEI; stock SPASTT01JPM661N; yield slug `japan`.

United Kingdom: WEO code GBR; nominal FX EXUSUK, then invert; real FX uses formula on next slide with CPI GBRCPIALLMINMEI; stock SPASTT01GBM661N; yield slug `united-kingdom`.

Appendix: Exact IDs (2/4)

Canada: WEO code CAN; nominal FX EXCAUS; real FX uses formula on next slide with CPI CANCPIALLMINMEI; stock SPASTT01CAM661N; yield slug canada.

Korea: WEO code KOR; nominal FX EXKOUS; real FX uses formula on next slide with CPI KORCPIALLMINMEI; stock SPASTT01KRM661N; yield slug south-korea.

China: WEO code CHN; nominal FX EXCHUS; real FX uses formula on next slide with CPI CHNCPIALLMINMEI; stock SPASTT01CNM661N; yield slug china.

Brazil: WEO code BRA; nominal FX EXBZUS; real FX uses formula on next slide with CPI BRACPIALLMINMEI; stock SPASTT01BRM661N; yield slug brazil.

Appendix: Transformations (3/4)

1. FRED rule: download https://fred.stlouisfed.org/graph/fredgraph.csv?id=SERIES_ID and use the monthly values exactly as returned.
2. Bilateral nominal FX is plotted as local-currency units per dollar: for Japan, Canada, Korea, China, and Brazil use the FRED value directly; for the euro area and U.K. set $E_t = 1/x_t$; for the U.S. use NBUSBIS directly.
3. Bilateral real FX for non-U.S. units is $q_t = E_t \times P_{US,t}/P_{i,t}$, with $P_{US,t} = \text{CPIAUCNS}$ and $P_{i,t}$ from the IDs above; for the U.S. use RUSBIS directly.
4. Long-run FX, real FX, and stock graphs: keep dates from 2000 onward; annualize by arithmetic mean of the 12 monthly observations in each year; plot $100 \times x_t/x_{2000}$.
5. Recent FX, real FX, and stock graphs: keep monthly observations with date $\geq 2020-01-01$; plot $100 \times x_t/x_{base}$, where x_{base} is the first available observation in that window.
6. Macro graphs use raw annual percentages from WEO; no re-scaling, interpolation, seasonal adjustment changes, or other smoothing is applied.

Appendix: Exact Vintage And Adjustments (4/4)

1. IMF rule: use [IMF WEO October 2025](#), exact raw file `overleaf/Data/imf/weo/weo_2025_10_v9_0_0.csv`. Indicator codes are NGDP_RPCH (real GDP growth), PCPIPCH (inflation), and LUR (unemployment). Exact WEO series code is `{country_code}.{indicator}.A`.
2. Projection rule for macro plots: `is_projection = year > LATEST_ACTUAL_ANNUAL_DATA`. Recent macro plots use a solid line through the latest actual year, a dashed line from that same point through the last WEO year, and gray shading from latest actual year + 0.5 to last WEO year + 0.5.
3. CPI extension rule if partner CPI ends before nominal FX ends: extend only through the latest actual inflation year and only with actual WEO inflation. If year y has annual inflation π_y , then monthly extension uses $P_{m+1} = P_m(1 + \pi_y/100)^{1/12}$. In this deck this affects Japan and Korea. No interpolation and no other extrapolation are used anywhere.
4. Yield-curve rule: open <https://www.worldgovernmentbonds.com/country/{slug}/>, extract COUNTRY1, POST it to <https://www.worldgovernmentbonds.com/wp-json/country/v1/main>, and plot the Latest series from mainChart. The exact cross section plotted in this PDF is `Resources/Data/yield_curve_current.csv`; all rows in this file have snapshot date 8 March 2026.
5. Exact transformed inputs used by the figures in this deck are `nominal_exchange_rate_monthly.csv`, `nominal_exchange_rate_annual.csv`, `real_exchange_rate_monthly.csv`, `real_exchange_rate_annual.csv`, `stock_market_monthly.csv`, `stock_market_annual.csv`, `macro_annual.csv`, and `yield_curve_current.csv` in `Resources/Data/`.